

Mindteck Middle East Limited S.P.C

Financial Statements and Independent Auditor's
Report for the Year Ended 31 March 2018

Contents	Page
General information	2
Board of directors' report	3
Independent auditor's report	4 – 6
Statement of financial position	7
Statement of profit or loss and other comprehensive income	8
Statement of changes in equity	9
Statement of cash flows	10
Notes to the financial statements	11 – 21

Commercial registration number	49063
Board of directors	Harish Aravindakshan Nair Aveenth Gupta Pradeep Kizhakkethil Shankattu Shivarama Adiga
Registered office	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama, Kingdom of Bahrain
Banks	HSBC Bank Middle East Limited, Bahrain Citibank, Bahrain
Auditor	RSM Bahrain PO Box 11816, Manama Kingdom of Bahrain

Board of directors' report for the year ended 31 March 2018

Tel: 973 1753 4469

The Board of Directors present its report and audited financial statements of Mindteck Middle East Limited S.P.C (the 'Company') for the year ended 31 March 2018.

Fax: 973 1753 6332

www.mindteck.com

Board of directors

The members of the Board of Directors are as follows:

	Designation
Harish Aravindakshan Nair	Director
Aveenth Gupta	Director
Pradeep Kizhakkethil	Director
Shankattu Shivarama Adiga	Director

Principal activities

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer Consultancy and computer facilities management activities.

Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements as at 31 March 2018.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 17 of the financial statements.

Financial performance

The Company's financial performances for the year are set out on page 8.

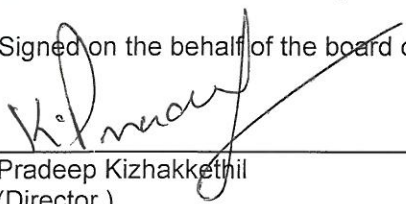
Independent auditor

The independent auditor, RSM Bahrain, has expressed its willingness to be in office and a resolution giving authority to the Board of directors to fix their remuneration will be proposed at the annual general meeting.

Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained co-operation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard work, dedication and loyalty during the year.

Signed on the behalf of the board of directors:


Pradeep Kizhakkethil
(Director)

26 August 2018
Manama, Kingdom of Bahrain



CMMIDEV / 5
Exp. 2019-04-01 / Approval 827356

RSM Bahrain

PO Box 11816
Diplomatic Area
Bahrain

T +973 17537787
F +973 17537757

www.rsm.bh

Independent auditor's report

To the Owner of Mindteck Middle East Limited S.P.C

Qualified opinion

We have audited the financial statements of Mindteck Middle East Limited S.P.C (the "Company"), which comprise the statement of financial position as at 31 March 2018, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the possible effects of the matter described in the basis for qualified opinion paragraph, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2018, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for qualified opinion

We have not received a response to the audit inquiry letter sent to the legal advisors of the Company. In the absence of lawyer's response to the audit inquiry, the outcome of any legal matter cannot presently be determined, and no provision for any liability that may result has been made in the financial statements.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Material uncertainty related to going concern

We draw attention to note 2.2 of the financial statements which indicates that the Company incurred a net loss of BD 23,127 during the year ended 31 March 2018, and as at that date, the Company's liabilities exceeded its total assets by BD 15,538. As stated in note 2.2, these events indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Independent auditor's report

To the Owner of Mindteck Middle East Limited S.P.C

(Continued from previous page)

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

Independent auditor's report

To the Owner of Mindteck Middle East Limited S.P.C

(Continued from previous page)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001 (the "Law"), we report that:

- a) As per the Articles of Association of the Company the financial year end is 30 June, however, the Company has been preparing its financial statements as at 31 March each year.
- b) According to clause 9 of the Articles of Association of the Company, the Company falls under the same rules pertaining to limited companies in relation to the annual general meeting. However, the Company did not meet this requirement for the year ended 31 March 2017.

Except for the matters described above and those stated in the basis of qualified opinion paragraph, the Company has maintained proper books of account and the financial statements are in agreement therewith; the financial information included in the board of directors' report is consistent with the books of accounts of the Company; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its articles of association, which would materially affect its activities, or its financial position as at 31 March 2018.



Registration no.152

26 August 2018

Manama, Kingdom of Bahrain

Mindteck Middle East Limited S.P.C

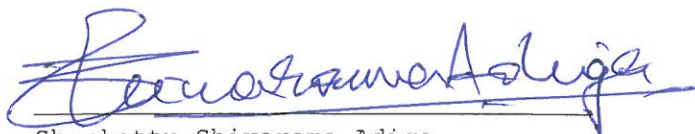
www.mindteck.com

Statement of financial position as at 31 March 2018

(in Bahraini Dinars)

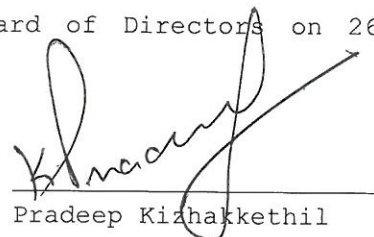
	Note	2018	(Restated) 2017
Assets			
Non-current asset			
Plant and equipment	5	187	271
		<u>187</u>	<u>271</u>
Current assets			
Trade and other receivables	6	109,832	109,095
Advances, deposits and prepayments	7	18,151	22,170
Bank balances		13,691	53,167
		<u>141,674</u>	<u>184,432</u>
Total assets		<u>141,861</u>	<u>184,703</u>
Equity and liabilities			
Equity			
Share capital	8	50,000	50,000
Statutory reserve	9	16,093	16,093
Accumulated losses		(81,631)	(58,504)
		<u>(15,538)</u>	<u>7,589</u>
Non-current liabilities			
Employee terminal benefits	10	45,192	48,000
		<u>45,192</u>	<u>48,000</u>
Current liabilities			
Other payables	11	88,403	102,548
Accrued and other liabilities	12	23,804	26,566
		<u>112,207</u>	<u>129,114</u>
Total equity and liabilities		<u>141,861</u>	<u>184,703</u>

These financial statements were approved by the Board of Directors on 26 August 2018 and signed on its behalf by:



Shankattu Shivarama Adiga

Director



Pradeep Kizhakkethil

Director

Notes 1 to 19 on pages 11 to 21 form an integral part of these financial

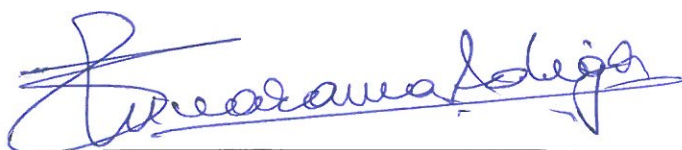
Mindteck Middle East Limited S.P.C

Statement of profit or loss and other comprehensive income
for the year ended 31 March 2018

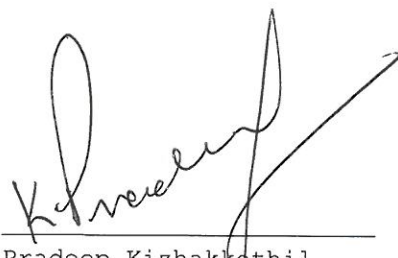
(in Bahraini Dinars)

	Note	2018	(Restated) 2017
Income			
Revenue		379,059	409,848
Direct cost	13	(318,635)	(343,226)
Gross profit		60,424	66,622
Exchange loss		(542)	-
Other income		1,087	8,439
		60,969	75,061
Expenses			
General and administrative expenses	14	84,096	102,603
		84,096	102,603
Loss for the year		(23,127)	(27,542)
Other comprehensive income		-	-
Total comprehensive loss for the year		(23,127)	(27,542)

These financial statements were approved by the Board of Directors on 26 August 2018 and signed on its behalf by:



Shankattu Shivarama Adiga
Director



Pradeep Kizhakkethil
Director

Notes 1 to 19 on pages 11 to 21 form an integral part of these financial statements.

	<u>Share capital</u>	<u>Statutory reserve</u>	<u>Accumulated losses</u>	<u>Total</u>
As at 31 March 2016	50,000	16,093	(30,962)	35,131
Loss for the year (Restated)	-	-	(27,542)	(27,542)
As at 31 March 2017 (Restated)	<u>50,000</u>	<u>16,093</u>	<u>(58,504)</u>	<u>7,589</u>
Loss for the year	-	-	(23,127)	(23,127)
As at 31 March 2018	<u>50,000</u>	<u>16,093</u>	<u>(81,631)</u>	<u>(15,538)</u>

	2018	(Restated) 2017
Cash flows from operating activities:		
Loss for the year	(23,127)	(27,542)
Adjustments for:		
Depreciation	84	84
Provision for employee terminal benefits	5,633	38,217
Provision for doubtful receivables	1,440	1,392
Changes in operating assets and liabilities		
Trade and other receivables	(2,177)	26,513
Advances, deposits and prepayments	4,019	(4,096)
Other payables	(14,145)	22,352
Accrued and other liabilities	(2,762)	5,007
Cash (used in) / generated from operations	(31,035)	61,927
Employee terminal benefits paid	(8,441)	(14,217)
Net cash (used in) / generated from operating activities	(39,476)	47,710
Net (decrease) / increase in cash and cash equivalents	(39,476)	47,710
Cash and cash equivalents at the beginning of the year	53,167	5,457
Cash and cash equivalents at the end of year	13,691	53,167

1 Legal status and principal activities

Mindteck Middle East Limited S.P.C, (the "Company"), is a single person company registered with the Ministry of Industry, Commerce and Tourism in the Kingdom of Bahrain under commercial registration number 49063, dated 27 July 2002.

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer Consultancy and computer facilities management activities.

2. Significant accounting policies

2.1. Basis of preparation

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 March 2018, and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001, and amendments thereto.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in their capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

2.2. Going concern

The Company incurred losses in the current and previous years which affected the net worth of the Company. However, the parent company has shown commitment to inject funds as and when needed. Hence, these financial statements are prepared on the basis that the Company is a going concern and will continue in operation for the foreseeable future and it has no intention or necessity to liquidate.

2.3. Measurement basis

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorized into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value These measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value These measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value These measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Company at the end of the reporting period during which the change occurred.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currency for these financial statements. The financial statements figures are rounded to the nearest dinar, unless otherwise stated.

2.4. Application of new and amended pronouncements

For the preparation of these financial statements, the following amended standards are mandatory for the first time for the financial year beginning 1 April 2017 (the list does not include information about new or amended requirements that are not relevant to the Company):

- Amendments to IAS 7 titled Disclosure Initiative (issued in January 2016) The amendments require entities to provide information that enables users of financial statements to evaluate changes in liabilities arising from the entity's financing activities.

The abovementioned amendments had no impact on the Company's financial statements.

2.5. New and amended pronouncements in issue but not yet effective

The Company has not applied the following new or amended standards and interpretations that have been issued by the IASB but are not yet effective for the financial year beginning 1 April 2017 (the list does not include information about new or amended requirements that are not relevant to the Company):

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective, and this may have a significant effect on amounts reported in the Company's financial statements. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

▪ IFRIC 22 Foreign Currency Transactions and Advance Consideration (issued in December 2016)

The Interpretation, applicable to annual periods beginning on or after 1 January 2018, provides guidance clarifying that the exchange rate to use in transactions that involve advance consideration paid or received in a foreign currency is the one at the date of initial recognition of the non-monetary prepayment asset or deferred income liability.

▪ IFRS 9 Financial Instruments (issued in July 2014)

The Standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting, recognition and derecognition.

– IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

– For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

– For the impairment of financial assets, IFRS 9 introduces an "expected credit loss (ECL)" model based on the concept of providing for expected losses at inception of a contract; recognition of a credit loss should no longer wait for there to be objective evidence of impairment. The recognition and derecognition provisions are carried over almost unchanged from IAS 39

▪ IFRS 15 Revenue from Contracts with Customers (issued in May 2014 and amended for effective date and clarifications in September 2015 and April 2016 respectively)

The Standard, effective for annual periods beginning on or after 1 January 2018, replaces IAS 11, IAS 18 and their Interpretations. It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance.

▪ IFRS 16 Leases (issued in January 2016)

The Standard, effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 and its Interpretations. The biggest change introduced is that almost all leases will be brought onto lessees' balance sheets under a single model (except leases of less than 12 months and leases of low-value assets), eliminating the distinction between operating and finance leases. Lessor accounting, however, remains largely unchanged and the distinction between operating and finance leases is retained.

3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and equipment	25% straight line
Motor vehicles	15% straight line

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2. Trade and other receivables

Trade and other receivables are initially measured at their fair value and subsequently measured at amortised cost, using the effective interest method (except for short-term receivable where interest is immaterial) minus any reduction for impairment or collectability. An estimate for doubtful debts is made when collection of the full amount is no longer probable. Bad debts are written off when there is no possibility of recovery.

3.3. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

3.4. Employee benefits and entitlements

3.4.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.4.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.5. Other payables

Other payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method (except for short-term payables where interest is immaterial).

3.6. Related party transactions

Related parties comprise the Owner, directors and such other entities over which the Company or its Owner can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.7. Revenue recognition

Revenue is recognised and measured at the fair value of the consideration received or receivable to the extent it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised:

3.7.1. Rendering of services

Contract revenues earned are recognized under the percentage of completion method, measured by the percentage of cost incurred to the total estimated cost for each contract.

Revenue arising from contract variations/claims is not accounted for unless it is probable that the customer will approve the variations/claims and the amount of revenue arising from the variations/claims can be measured reliably.

Losses on contracts are assessed on an individual contract basis and a provision is made for the full amount of the anticipated losses, including any losses relating to future work on a contract, in the period in which the loss is first foreseen.

Servicing fees are recognised over the term of the servicing contract.

3.7.2. Interest income

Interest income is recognised on a time-proportion basis using the effective interest method.

3.7.3. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.8. Foreign currency

Foreign currency monetary assets and liabilities are translated into the functional currency of the Company using the exchange rates at the reporting date. Gains and losses arising from changes in exchange rates after the date of the transaction are recognised in profit or loss. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

3.9. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

3.10. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

4. Critical accounting judgments and key estimations

In preparing its financial statements, the Company has made significant judgments, estimates and assumptions that impact on the carrying value of certain assets and liabilities, income and expenses as well as other information reported in the notes. The Company periodically monitors such estimates and assumptions and makes sure they incorporate all relevant information available at the date when financial statements are prepared. However, this does not prevent actual figures differing from estimates.

The judgments made in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognised in the financial statements, and the estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

4.1. Economic useful lives of plant and equipment

The Company reviews the useful life and residual value of plant and equipment on regular basis. Any changes in estimates may affect the carrying amounts of the respective items of plant and equipment with a corresponding effect on the depreciation charge.

4.2. Allowance for doubtful receivables

The determination of the recoverability of the amount due from customers involves the identification of whether there is any objective evidence of impairment. Bad debts are written off when identified, to the extent that it is feasible that impairment and uncollectibility are determined individually for each item. In cases where that process is not feasible, a collective evaluation of impairment is performed. As a consequence, the way individual and collective evaluations are carried out and the timing relating to the identification of objective evidence of impairment require significant judgment and may materially affect the carrying amount of receivables at the reporting date.

4.3. Provisions

Provisions are recognised when there is a present, legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognised when intimated and reasonable certainty exists to settle the obligations.

4.4. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.5. Impairments

4.5.1. Impairment of financial assets

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

4.5.2. Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each statement of financial position date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognised in the statement of profit or loss and other comprehensive income. The recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Plant and equipment

	<u>Furniture and equipment</u>	<u>Motor vehicles</u>	<u>Total</u>
Cost :			
At 31 March 2017	3,477	6,000	9,477
At 31 March 2018	<u>3,477</u>	<u>6,000</u>	<u>9,477</u>
Accumulated depreciation:			
At 31 March 2017	3,206	6,000	9,206
Depreciation for the year	84	-	84
At 31 March 2018	<u>3,290</u>	<u>6,000</u>	<u>9,290</u>
Carrying amount :			
At 31 March 2017	271	-	271
At 31 March 2018	<u>187</u>	<u>-</u>	<u>187</u>

6. Trade and other receivables

	<u>Note</u>	<u>2018</u>	<u>2017</u>
Trade receivables		80,744	119,324
Provision for doubtful receivables	6.1	(4,852)	(27,378)
		75,892	91,946
Unbilled revenue		33,940	17,149
		<u>109,832</u>	<u>109,095</u>

6.1. Provision for doubtful receivables

	<u>2018</u>	<u>2017</u>
Opening balance	27,378	25,986
Provision for the year	1,440	1,392
Utilised in the year for write-off of uncollectible receivables	(23,966)	-
	<u>4,852</u>	<u>27,378</u>

7. Advances, deposits and prepayments

	<u>2018</u>	<u>2017</u>
Tender deposits	11,855	14,000
Prepayments	4,392	4,849
Advances to employees	1,904	3,321
	<u>18,151</u>	<u>22,170</u>

8. Share capital

The share capital of the Company is BD 50,000 (2017: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

9. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, no transfer is made to such reserve, as the Company has incurred a loss (2017: Nil).

10. Employee terminal benefits

		(Restated)
	2018	2017
Opening balance	48,000	24,000
Payments during the year	(8,441)	(14,217)
Provision for the year	5,633	38,217
	<u>45,192</u>	<u>48,000</u>

11. Other payables

		(Restated)
	2018	2017
Due to related parties	86,115	74,326
Other payables	2,288	28,222
	<u>88,403</u>	<u>102,548</u>

11.1. Due to related parties

	Relationship	2018	2017
Mindteck India Limited	Parent company	15,673	3,884
Mindteck Inc, USA	Sister concern	70,442	70,442
		<u>86,115</u>	<u>74,326</u>

12. Accrued and other liabilities

	2018	2017
Leave salary	22,850	25,811
Accrued expenses	954	755
	<u>23,804</u>	<u>26,566</u>

13. Direct cost

	(Restated)	
	2018	2017
Salaries, wages and other benefits	299,274	317,278
Social Insurance	17,981	22,998
Other expenses	1,380	2,950
	<u>318,635</u>	<u>343,226</u>

14. General and administrative expenses

		2018	2017
Employee costs	Note 14.1	65,541	86,730
Office rent		6,017	6,017
Bank charges		3,066	417
Travelling and conveyance		2,410	2,539
Professional fee		1,704	1,070
Provision for doubtful receivables		1,440	1,392
Communication		1,170	1,783
Utilities		523	742
Repair and maintenance		187	161
Depreciation	5	84	84
Miscellaneous		1,954	1,668
		<u>84,096</u>	<u>102,603</u>

14.1. Employee costs

		(Restated)
	2018	2017
Salary and allowances	35,886	28,439
Insurance	11,655	11,051
Employee benefits	6,988	38,217
Visa and immigration fees	2,868	2,898
Employee welfare	796	279
Others	7,348	5,846
	<u>65,541</u>	<u>86,730</u>

15. Related party transactions**15.1. Parent and ultimate controlling party**

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

15.2. Transactions with parent company

	2018	2017
Expenses incurred by parent company	(17,610)	(12,215)
Expenses incurred on behalf of the parent company	5,545	16,052

The above transactions were made on the same terms as equivalent transactions with unrelated parties.

16. Contingencies and commitments**16.1. Contingencies**

There were no material contingencies known as at the date of the statement of financial position.

16.2. Commitments

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

The future minimum lease payments payable under non-cancellable operating leases are as follows:

	2018	2017
No later than 1 year	3,008	6,017
Later than 1 year and no later than	-	3,008
	<u>3,008</u>	<u>9,025</u>

The Company has bank guarantees as at 31 March:

	2018	2017
Bank Guarantees – HSBC Middle East Ltd	6,854	7,284
Bank Guarantees – Citi Bank	-	7,000
	<u>6,854</u>	<u>14,284</u>

17. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits and trade and other receivables. Financial liabilities include trade and other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

17.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2018	2017
Bank balances	13,691	53,167
Tender deposits	11,855	14,000
Trade and other receivables	109,832	109,095
	<u>135,378</u>	<u>176,262</u>

17.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. At 31 March 2018, if the currency had weakened/strengthened by 10% against Qatari Riyal with all other variables held constant, profit for the year would have been BD 54 higher/lower.

17.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2018

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	13,691	13,691	-	-
Tender deposits	11,855	-	11,855	-
Trade and other receivables	109,832	109,832	-	-
	<u>135,378</u>	<u>123,523</u>	<u>11,855</u>	<u>-</u>
Liability				
Other payables	88,403	88,403	-	-
	<u>88,403</u>	<u>88,403</u>	<u>-</u>	<u>-</u>

2017

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	53,167	53,167	-	-
Tender deposits	14,000	-	14,000	-
Trade and other receivables	109,095	109,095	-	-
	<u>176,262</u>	<u>162,262</u>	<u>14,000</u>	<u>-</u>
Liability				
Other payables	102,548	-	102,548	-
	<u>102,548</u>	<u>-</u>	<u>102,548</u>	<u>-</u>

17.4. Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

17.5. Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximize the owner's wealth.

In order to achieve this objective, the Company maintains the share capital and reserves and may adjust the amount of dividend paid to the owner.

18. Prior year error

Employee terminal benefit and leave salary expenses were unrecorded amounting to BD 24,880 for the year ended 31 March 2017. Hence, the comparative figures have been restated to account for the same. The effect of the restatement on the comparative figures is summarised below:

	2017
Increase in leave salary expense	10,663
Increase in employee terminal benefit expense	14,217
Increase in accumulated losses	(24,880)

19. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.